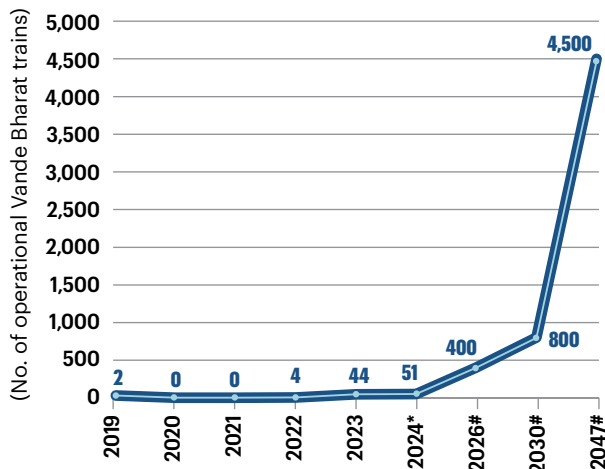


PICKING UP THE PACE

● There is a healthy opportunity worth ₹2 lakh crore to manufacture rolling stock for Vande Bharat trains over the next few years



*TILL JULY; #TARGET

NOTE TRAIN OPERATIONS WERE SUSPENDED IN 2020 AND 2021 DUE TO THE COVID-19 PANDEMIC

SOURCE MINISTRY OF RAILWAYS

sleeper trains that will cater to overnight routes and replace Rajdhani trains; Vande metro train; and Vande Bharat bullet trains. The Railways looks to complete trials of the first Vande Bharat sleeper rakes by August and Bengaluru-based PSU BEML aims to deliver all 10 sleeper train sets by the end of the year.

BEML bagged the first order worth ₹675 crore for the sleeper version of Vande Bharat from ICF last year. Initially, the plan was that the sleeper rakes would hit the rails in March, but it was delayed due to technical reasons. Recently, Railway Minister Ashwini Vaishnaw said the trials were expected to be completed in August.

Each sleeper rake will consist of 11 AC 3-tier coaches, four AC 2-tier coaches and one AC First Class coach. Besides BEML, other players that have been awarded contracts to make Vande Bharat sleeper trains are a joint venture between RVNL and Russian infra major CJSC Transmashholding, BHEL-TRSL, and Alstom that will manufacture aluminium sleeper coaches (see chart 'The Order Book'). The Railways plans to connect important cities of the country with about 250 Vande Bharat sleeper trains by 2029.

The equity markets, too, have taken notice. The



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decent pipeline of railway projects, led by increased demand for rolling stock and other ancillaries, has led to a surge in the share prices of firms in the railway space.

REVVING UP MANUFACTURING

The growing demand for rolling stock has led to companies in the sector expanding their production capacity. Some have also announced plans to set up ancillary manufacturing units in India. For instance, Kolkata-based TRSL is expanding its rolling stock capacity at its Uttarpara factory in West Bengal to meet the demand for the Vande Bharat sleeper and metro coaches. And France-based Alstom plans to manufacture large traction batteries used in Vande Bharat sleeper and metro trains.

While RVNL-Transmashholding has won an order to manufacture 120 Vande Bharat train sets at ₹120 crore each,